

APPENDIX D

RATE AND METHOD OF APPORTIONMENT FOR CSUCI FINANCING AUTHORITY COMMUNITY FACILITIES DISTRICT NO. 2000-1

This statement of the rate, method of apportionment and manner of collection (this "Rate and Method of Apportionment") of the special tax of Community Facilities District No. 2000-1 ("CFD No. 2000-1") of the CSUCI Financing Authority (the "Financing Authority") is provided in accordance with the provisions of the Mello-Roos Community Facilities Act of 1982 (being Chapter 2.5, Division 2 of Title 5 of the California Government Code, and set forth at Section 53311 and following thereof; hereafter referred to as the "Act") and specifically Section 53321 of the Act. Subject to the terms and conditions of this Rate and Method of Apportionment, a Special Tax (as hereafter defined) shall be levied on all Taxable Parcels (as hereafter defined) within CFD No. 2000-1 and collected each Fiscal Year (as hereafter defined), commencing in Fiscal Year 2001-2002, in an amount determined in accordance with this Rate and Method of Apportionment by the Board (as hereafter defined) of the Financing Authority.

A. DEFINITIONS

The terms hereinafter set forth have the following meanings:

"Acre or Acreage" means the land area of an Assessor's Parcel as shown on an Assessor's Parcel Map, or if the land area is not shown on an Assessor's Parcel Map, the land area shown on the applicable record of survey or other recorded map.

"Act" means the Mello-Roos Community Facilities Act of 1982, as amended, being Chapter 2.5, Division 2 of Title 5 of the Government Code of the State of California.

"Administrative Expenses" means the following actual or reasonably estimated costs directly related to the administration of CFD No. 2000-1: the costs of computing the Special Taxes and preparing the annual Special Tax collection schedules (whether by the Financing Authority, CSU, CSUCI Site Authority, or designee thereof or both); the costs of collecting the Special Taxes (whether by the County or otherwise); the costs of remitting the Special Taxes to the Trustee; the costs of the Trustee (including its legal counsel) in the discharge of the duties required of it under the Trust Agreement; the costs to the Financing Authority, CSU, CSUCI Site Authority, CFD No. 2000-1 or any designee thereof of complying with arbitrage rebate requirements; the costs to the Financing Authority, CSU, CSUCI Site Authority, CFD No. 2000-1 or any designee thereof of complying with disclosure requirements applicable to the Financing Authority, CSU, CSUCI Site Authority, CFD No. 2000-1 or other obligated persons related to federal and state securities laws and the Act; the costs associated with preparing Special Tax disclosure statements and responding to public inquiries regarding the Special Taxes; the costs of the Financing Authority, CSU, CSUCI Site Authority, CFD No. 2000-1 or any designee thereof related to an appeal of the Special Tax; the costs associated with the release of funds from an escrow account; and the Financing Authority, CSU, CSUCI Site Authority, and CFD No. 2000-1's annual administration fees and third party expenses. Administrative Expenses shall also include amounts estimated or advanced by the Financing Authority, CSU, CSUCI Site Authority or CFD No. 2000-1 for any other administrative purposes of CFD No. 2000-1, including attorney's fees and other costs related to commencing and pursuing to completion any foreclosure of delinquent Special Taxes.

"Assessor's Parcel" means a lot or parcel shown in an Assessor's Parcel Map with an assigned Assessor's parcel number.

“Assessor's Parcel Map” means an official map of the County Assessor designating parcels by Assessor's parcel number.

“Board” means the Governing Board of the Financing Authority, acting as the legislative body of CFD No. 2000-1.

“CFD Administrator” means the Director of the Office of Financing & Treasury of the California State University, Office of the Chancellor, or designee thereof, responsible for determining the Special Tax Requirement and providing for the levy and collection of the Special Taxes.

“CFD No. 2000-1” means the CSUCI Financing Authority Community Facilities District No. 2000-1.

“County” means the County of Ventura.

“CSUCI Site Authority” means the legal entity established by the California State University, Channel Islands Site Authority Act, being Title 7.75 of the California Government Code (being Sections 67470 and following thereof).

“CSU” means California State University.

“Developed Taxable Parcels” means all Taxable Parcels on which improvements have been constructed for human use and occupancy, whether for residential purposes or non-residential purposes, as determined by the CFD Administrator. For purposes of this definition, the execution and recordation of the instrument which establishes the entitlement of use and occupancy of the subject improvements shall constitute conclusive evidence of completion of construction.

“Exempt Person” means any person or legal entity, including without limitation the CSUCI Site Authority, which is exempt from property taxation pursuant to Article XIII of the California Constitution.

“Financing Authority” means the CSUCI Financing Authority.

“First Year Prorated Special Tax” means a special tax collected once for each Assessor's Parcel at the close of escrow when an Assessor's Parcel is first designated as a Developed Taxable Parcel. The First Year Prorated Special Tax shall equal the Maximum Special Tax that can be levied on such Developed Taxable Parcel for the current Fiscal Year, prorated to cover only the remainder of the current Fiscal Year, minus any Special Taxes previously paid for that Assessor's Parcel (if any, while it was an Undeveloped Taxable Parcel) that were intended to cover the remainder of the current Fiscal Year.

“Fiscal Year” means the period starting July 1 and ending on the following June 30; provided that, for any period during which the property tax collection method being utilized is based upon a twelve month period different from a Fiscal Year beginning on July 1, then such alternative twelve month period shall be utilized for all applicable provisions of this Rate and Method of Apportionment, and each date specified herein shall be modified accordingly.

“Trust Agreement” means the Trust Agreement, fiscal agent agreement, resolution or other instrument pursuant to which debt is issued, as modified, amended and/or supplemented from time to time.

“Land Use Class” means any of the classes listed in Table 1 below.

“Maximum Special Tax” means the maximum Special Tax for each Land Use Class of Taxable Parcels, as determined in accordance with Section C below.

“Non-Exempt Person” means any person or legal entity which is not an Exempt Person.

“Non-Residential Floor Area” means the total building square footage of the non-residential building(s) located on an Assessor’s Parcel, measured from outside wall to outside wall, exclusive of overhangs, porches, patios, carports, or similar spaces attached to the building but generally open on at least two sides, as determined by the CFD Administrator.

“Non-Residential Property” means all Developed Taxable Parcels that are used for a non-residential purpose.

“Proportionately” means, for Developed Taxable Parcels, that the ratio of the actual Special Tax levy to the Maximum Special Tax is equal for all Developed Taxable Parcels. For Undeveloped Taxable Parcels, “Proportionately” means that the ratio of the actual Special Tax levy per Acre to the Maximum Special Tax per Acre is equal for all Undeveloped Taxable Parcels.

“Residential Property” means all Developed Taxable Parcels that are used for residential purposes.

“Residential Floor Area” means all of the square footage of living area within the perimeter of a residential structure, not including any carport, walkway, garage, overhang, patio, enclosed patio, or similar area, as determined by the CFD Administrator.

“Single Family Attached Property” means all Assessor's Parcels of Residential Property which consist of attached residential units.

“Single Family Detached Property” means all Assessor's Parcels of Residential Property on which a detached residential unit is located.

“Special Tax” means the special tax to be levied in each Fiscal Year on each Taxable Parcel to fund the Special Tax Requirement.

“Special Tax Requirement” means that amount required in any Fiscal Year for CFD No. 2000-1 to pay all or any portion of (i) the cost and expense of the authorized facilities, as described in the Resolution, (ii) the authorized incidental expenses, as described in the Resolution, (iii) Administrative Expenses, as defined herein, (iv) the principal of and interest on any form of "debt," as said term is defined in Section 53317 of the Act, which is incurred by or on behalf of CFD No. 2000-1, (v) any amounts required to establish or replenish the reserve funds for any form of debt, and (vi) reasonably anticipated delinquent Special Taxes based on the delinquency rate for Special Taxes levied in the previous Fiscal Year.

“State” means the State of California.

“Taxable Parcel” means each possessory interest in land within the meaning of Section 53340.1 of the Act, legal title to which is vested in a Non-Exempt Person and which has been assigned an Assessor’s Parcel number by the County Assessor for purposes of the levy and collection of ad valorem property taxes; provided that, in the event that ownership of a Taxable Parcel reverts to any Exempt Person pursuant to the terms and conditions of the instrument which established the possessory interest, that Taxable Parcel shall remain subject to the Special Tax obligation, and the Special Tax shall continue to be levied and collected on such Taxable Parcel.

“Trustee” means the trustee or fiscal agent under the Trust Agreement.

“Undeveloped Taxable Parcels” means all Taxable Parcels which are not Developed Taxable Parcels.

B. ASSIGNMENT TO LAND USE CATEGORIES

Each Fiscal Year, starting in Fiscal Year 2001-02, all Taxable Parcels within CFD No. 2000-1 shall be classified as Developed Taxable Parcels or Undeveloped Taxable Parcels, and shall be subject to Special Taxes in accordance with the rate and method of apportionment determined pursuant to Sections C and D below. Residential Property shall be assigned to Land Use Classes 1 through 8, based on whether the dwelling unit(s) located on a Developed Taxable Parcel qualifies such parcel as Single Family Detached Property or Single Family Attached Property, and based on the amount of Residential Floor Area within the dwelling unit. Non-Residential Property shall be assigned to Land Use Class 9.

C. MAXIMUM SPECIAL TAX RATE

1. Developed Taxable Parcels

a. Maximum Special Tax

The Fiscal Year 2001-2002 Maximum Special Tax for each Land Use Class is shown below in Table 1.

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TABLE 1

**Maximum Special Taxes for Developed Taxable Parcels in
Community Facilities District No. 2000-1
(Fiscal Year 2001-2002)**

1	Single Family Detached Property	≤ 1,750 sq.ft.	\$2,053.26 per unit
2	Single Family Detached Property	1,751 to 2,000 sq.ft.	\$2,302.14 per unit
3	Single Family Detached Property	2,001 to 2,250 sq.ft.	\$2,675.46 per unit
4	Single Family Detached Property	2,251 to 2,500 sq.ft.	\$2,924.34 per unit
5	Single Family Detached Property	> 2,500 sq.ft.	\$3,235.44 per unit
6	Single Family Attached Property	< 1,300 sq.ft.	\$1,234.20 per unit
7	Single Family Attached Property	1,300 to 1,500 sq.ft.	\$1,666.17 per unit
8	Single Family Attached Property	> 1,500 sq.ft.	\$1,943.87 per unit
9	Non-Residential Property	N/A	\$1.10 per sq.ft. of Non-Residential Floor Area

b. Increase in the Maximum Special Tax

On each July 1, commencing on July 1, 2002, the Maximum Special Tax shall be increased by an amount equal to two percent (2%) of the Maximum Special Tax for the previous Fiscal Year.

2. Undeveloped Taxable Parcels

a. Maximum Special Tax

The Maximum Special Tax for Undeveloped Taxable Parcels shall be \$18,618 per Acre for Fiscal Year 2001-2002.

b. Increases in the Maximum Special Tax

On each July 1, commencing July 1, 2002, the Maximum Special Tax for Undeveloped Property shall be increased by two percent (2%) of the amount in effect in the previous Fiscal Year.

D. METHOD OF APPORTIONMENT OF THE SPECIAL TAX

Commencing with Fiscal Year 2001-2002 and for each following Fiscal Year, the Board shall determine the Special Tax Requirement and shall levy the Special Tax until the amount of Special

Taxes equal the Special Tax Requirement. The Special Tax shall be levied each Fiscal Year as follows:

First: The Special Tax shall be levied Proportionately on each Developed Taxable Parcel at up to 100% of the applicable Maximum Special Tax;

Second: If additional monies are needed to satisfy the Special Tax Requirement after the first step has been completed, the Special Tax shall be levied Proportionately on each Undeveloped Taxable Parcel at up to 100% of the applicable Maximum Special Tax.

E. EXEMPTIONS

No Special Tax shall be levied on any Assessor's Parcels that are not designated as Taxable Parcels.

F. REVIEW/APPEAL COMMITTEE

The Board shall establish as part of the proceedings and administration of CFD No. 2000-1 a special three-member Review/Appeal Committee. Any landowner or resident who feels that the amount of the Special Tax, as to their Assessor's Parcel, is in error, may file a notice with the Review/Appeal Committee appealing the amount of the Special Tax levied on such Assessor's Parcel. The Review/Appeal Committee shall interpret this Rate and Method of Apportionment and make determinations relative to the annual administration of the Special Tax and any landowner or resident appeals, as herein specified. The decision of the Review/Appeal Committee shall be final and binding as to all persons.

G. MANNER OF COLLECTION

The Special Tax will be collected in the same manner and at the same time as ordinary ad valorem property taxes; provided, however, that the Board reserves the entitlement to provide for any alternative method of collection authorized by the Act, including but not limited to (a) direct billing and (b) billing, whether directly or through the services of the County, at different times, upon making a determination that such alternative method of collection better enables the Financing Authority to meet its financial obligations incurred on behalf of CFD No. 2000-1. In its capacity as the legislative body of CFD No. 2000-1, the Board may covenant to foreclose and may actually foreclose on delinquent Taxable Parcels as permitted by the Act. The direct billing of the Special Tax may include the collection of the First Year Prorated Special Tax with respect to a Taxable Parcel at the close of escrow which vests title to the subject possessory interest in a Non-Exempt Person, even though such close of escrow may precede assignment of an Assessor's Parcel number.

H. TERM OF SPECIAL TAX

The Special Tax shall be levied on all Taxable Parcels for a period not to exceed fifty years commencing with Fiscal Year 2001-2002.